

ONE

OCEAN NETWORK EXPRESS

Intra Asia Trade Pricing 5 Factors



ONE MANILA MARKETING & COMMERCIAL CENTER (OMMC PRICING 5 Factors)



Pricing Function:

- Daily Pricing / Spot Inquiries
- Pricing for Contract Bids or Tenders (GKA and non-GKA)
- Special Request Pricing: COD, ROB, et.al.
- Preparation and Execution of Periodical MRG
- Freetime Approval
- Review and Approval of Rate and Service Contract Agreements
- Joint Country-Wise Monitoring (with GHQ WA and EA) for Market Updates and Performance Review
- Commercial Approvals for Special Documentation Arrangements: Switch BL, Lost BL, DO Release without BL, et.al.

Coverage



Trade Lane	Trade Team	Pricing	Exception
East Asia	SIN GHQ	OMMC	Ex JAPAN by ONE J
West Asia (India, ME, Gulf)	SIN GHQ	OMMC	Ex JAPAN by ONE J
GKA Accounts	SIN GHQ	OMMC	
Red Sea	SIN GHQ	OMMC	Ex JAPAN by ONE J
Far East Russia	SIN GHQ	OMMC	Ex JAPAN by ONE J

- a. **PROFITABILITY** - considering cargoes yielding positive CM; (basic rule of doing business is to gain profit)
- b. **MARKET RATE LEVEL** - pricer's need to be aware of the market competition/offering so ONE's offer will be at par with other lines. Pricer's are trying their best to offer rates within the MRL as possible.
- c. **EQP SITUATION** - purpose is to ease out Equipment imbalance and try to achieve balance EQP situation, so Pricer's tend to price competitively from Surplus location going to Deficit location and V.V.. To note that we have existing EPP costs uploaded in the system which reflects the EQP situation of each ECCs. This mentioned EPP cost is one of the factors considered in pricing evaluation that could affect rate competitiveness depending on port pair involved.
- d. **SPACE SITUATION** - promotional rates/competitive rates are usually given for ample sectors since not so much cargo are moving to fill up our vessel. On the contrary, if space is already tight, pricer's tend to offer on a higher side to maximize space on our vsl. As you are well aware of, we tend to prioritize higher paying cargoes for tight sectors.
- e. **POLITICAL JUDGEMENT** - involving higher management in the decision making process for VVIP customers especially if target rates already generate unfavourable CM.

To note that there is no hierarchy on these 5 Pricing Factors, we harmoniously consider them in our pricing evaluation.

5. OOG/Special Container Pricing should be directed to "GHQ.SYM.YM.GSCM.PRI"
<ghq.sym.ym.gscm.pri@one-line.com> GHQ.Specialcargo@one-line.com, ghq.sym.ym.gscm.tec@one-line.com
6. Japan Export Pricing to East and West Asia should be directed to "JP.MKTG.AS.PRI"
jp.mktg.as.pri@one-line.com
7. For urgent inquiries, please give Pricer a call. Hangout is of course an open option.

Thank you!



NON FORMATTED REQUEST SAMPLE

Dear Lemuel,

Good Day.

Kindly advise best rate Ex Bahrain to Shanghai. Please find below details.

1.

POL : Bahrain
POD : Shanghai
Equipment : 20dv/40hc
Commodity : Denim Fabric.

Lemuel Serrano <lemuel.serrano@one-line.com>
to Vinimon, PH.OMMC.WA, Ravindu, Zaheer ▾

Dear **Vinimon**,

Good day!

Please advise the market rate level or target rate for below rates for further checking and review.

Thank you!

Vinimon Jayarajan <vinimon.jayarajan@gac.com>
to me, PH.OMMC.WA, Ravindu, Zaheer ▾

Dear Lemuel,

Please find below market rate.

Usd50/ 20DV and Usd100/40 hc.

Lemuel Serrano <lemuel.serrano@one-line.com>
to Vinimon, PH.OMMC.WA, Ravindu, Zaheer ▾

Dear **Vinimon**,

Good day!

Please proceed to match rate below.

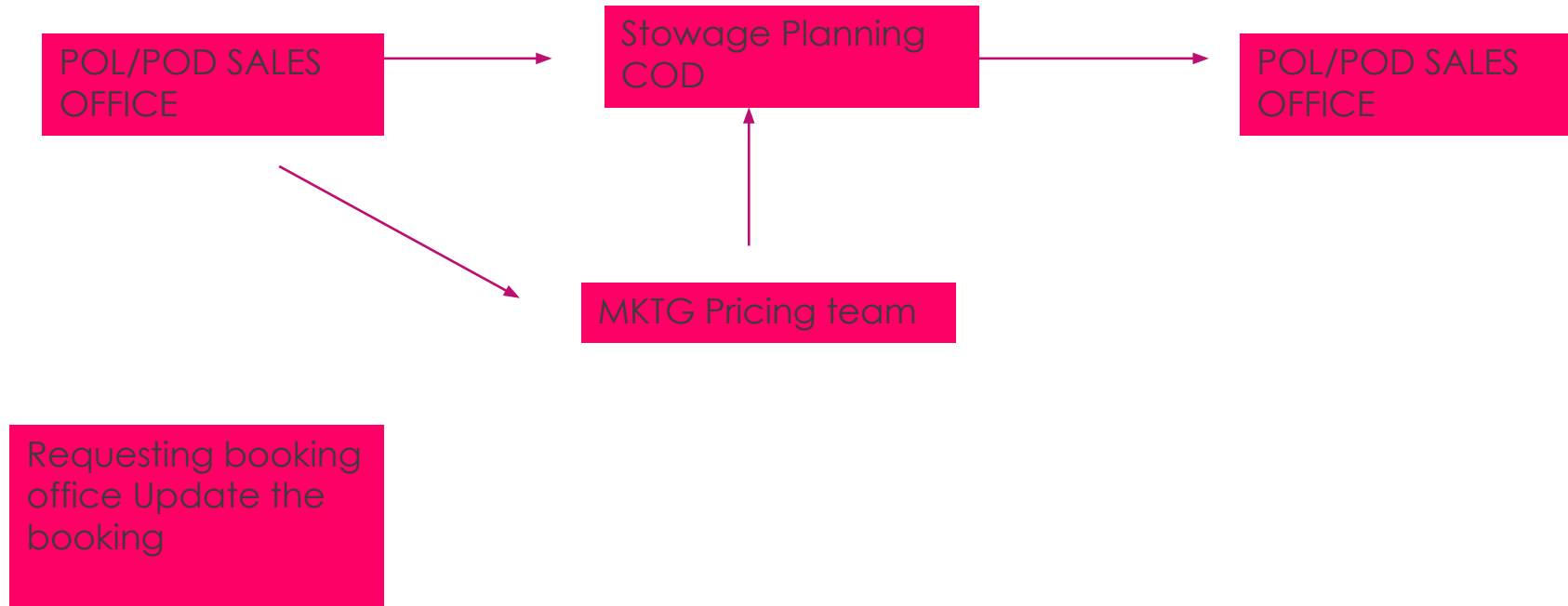
BAH/SHA USD 50/100 per 20GP/40HC *FDR+AGX via JEA

Inclusive of FAF
Subj to THCS/DOCS/SLF/AMS and all applicable local surcharges at both ends
Applicable for cicy basis and non dg cargoes
Rates are valid for current service offering
Subject to space and equipment availability
Transit details may be subject to proforma delay



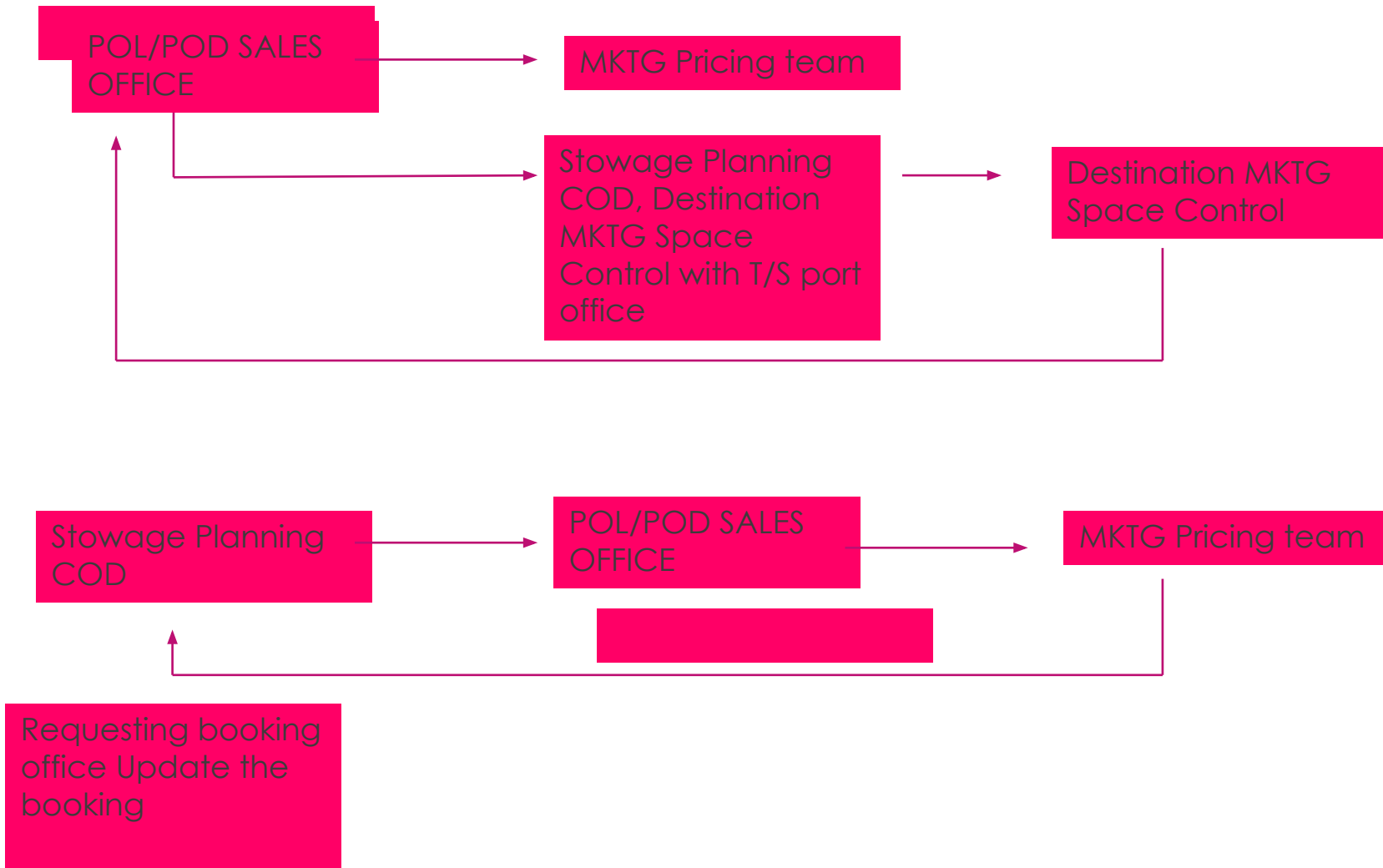
COD REQUEST

No Transshipment



COD REQUEST

With Transshipment



Target Accounts Progress Summary for IAE

Tradelane		Target Number of accounts/customers	Capture Number of accounts/customers	%	Target TEUS	Capture TEUS from Target customers	%
SG --> TH	1st Revision	3 Customers	0	0%	168	0	0%
SG --> MM	1st Revision	2 Customers	1 Customer	50%	308	28	9%
SG --> PH	1st Revision	3 Customers	1 Customer	33%	408	6	1%
SG --> KR	1st Revision	3 Customers	1 Customer	33%	134	11	8%
SG --> HK	1st Revision	9 Customers	8 Customer	89%	206	51	25%
SG --> ID	1st Revision	2 Customers	1 Customer	50%	184	98	53%
SG --> NCPRC	1st Revision	3 Customers	0	0%	306	0	0%
SG --> SPRC	1st Revision	1 Customer	0	0%	536	0	0%
SG --> VN	1st Revision	1 Customer	0	0%	312	0	0%
SG --> KH	1st Revision	1 Customer	0	0%	4	0	0%
SG --> JP	1st Revision	1 Customer	0	0%	8	0	0%
SG --> MY	1st Revision	1 Customer	0	0%	372	0	0%
SG --> TW	1st Revision	1 Customer	0	0%	12	0	0%
HPH --> THA	1st Revision	19 Customerts	17 Customers	89%	100	60	60%
HPH -->TWN	1st Revision	20 Customerts	6 Customers	30%	29.5	16.4	56%
HPH-->SPRC	1st Revision	1 Customer	1 Customer	100%	4	0.4	10%
HCM-->JPN	1st Revision	61 Customers	60 Customers	98%	249.75	35.68	14%
HCM-->HKG	1st Revision	2 Customers	2 Customers	100%	5	0.71	14%
HCM --> SPRC	1st Revision	1 Customer	1 Customer	100%	150-200	10	7%
THA-->JPN	1st Revision	721 Customers	721 Customers	100%	4280	4113	96%
THA-->SIN	1st Revision	40 Customers	40 Customers	100%	650	53	8%
THA-->JKT	1st Revision	354 Customers	354 Customers	100%	1450	1320	91%
THA-->PKG	1st Revision	46 Customers	46 Customers	100%	300	128	43%
THA-->HCM	1st Revision	148 Customers	148 Customers	100%	940	546	58%
THA-->HPH	1st Revision	165 Customers	165 Customers	100%	485	442	91%
PKG ---> CN	1st revision	1 customer	0	0	29 TEUs	0	0
PKG ---> CN	2nd revision	1 customer	0	0	29 TEUs	0	0
PKG ---> HK/SPRC	1st revision	7 customers	5 customers	71%	21 TEUs	13 TEUs	62%
PKG ---> HK/SPRC	2nd revision	7 customers	2 customers	29%	22 TEUs	13 TEUs	59%



SAMPLE REQUEST

Al Ghurair Resources

Adarsh Ravi

Sep 6, 2018, 4:29 PM (5 days ago) ☆ ↩ ⋮

to PH.OMMC.WA, AE, me, Benghin, Roger, P.J. ▾

Dear Lemuel, CC: BH

We had a meeting with the customer yesterday to know the reason why we are not getting bookings on some of the lanes. One of their major POD is Haiphong, they have supported 3J with significant volumes in 2017, appended below the their lifting performance. As ONE we need to retain this volume which is around 6% of our yearly budget for IA Trade, customer is getting a rate of \$50/40'Hc (Incl. THL/FAF/BRS) Sub THD,DOCs only from competition and the bookings are diverted to them.

As per my understanding Haiphong is facing shortage of D5 containers for their exports and on the other hand Jebel Ali is a surplus location, so this business would benefit us in terms of saving repo cost.

Please review and let us know the possibility to regain this business.

Month	TEUs
201701	182
201702	226
201703	226
201704	346
201705	194
201706	648
201707	484
201708	526
201709	788
201710	46
201711	134
201712	154
Grand Total	3954



PROFITABILITY SAMPLE

Sample Request

POR AEJA R term Y D term Y Dep. Svc Arv. Svc Org Trans Mode M'ty Pick Up Loc BKG Ofc DXBBB
 DEL VNHPH POL POD Dest Trans Mode M'ty Return Loc SC/RFA CTRT Ofc
 Cargo Type DR Eqt Type D Sub Trade Effective Date 2018-09-11 SOC GOH FF/Customer Snap Effective Date 2018-09-08 On-line

Revenue 2: 4: 5: 50 7: Service Scope IWE-WEST ASIA - Subject To Tariff Surcharge Show Surcharge Selection

* Red / Blue font indicates cost items for which vendor rates cannot be found (historical average / actual rates is applied).

Trade	Sub Trade	Service Lane	Cargo Cutoff Time	eCom T/T		Total Trans. Time	Cargo Avail. Time	Ocean Priority	EPP A								EPP B				
				Ocean	Total				Cost				CM				Cost				2
									2	4	5	7	2	4	5	7	2	4	5	7	
WAT	WA	AGX	2018-09-15 17:00	24D	26D	26D23H	2018-10-11 13:00	1	181.85	221.69	197.24	182.31	-100.15	-92.69	-18.24	-31.81	181.85	221.69	197.24	182.31	-100.15
WAT	WA	CMS	2018-09-09 16:00	15D	18D	19D00H	2018-09-27 13:00	2	171.01	205.63	182.06	157.05	-171.01	-205.63	-132.06	-157.05	171.01	205.63	182.06	157.05	-171.01
EAT	IP	EC5	2018-09-12 17:00	17D	19D	20D09H	2018-10-01 23:00	2	259.06	445.25	421.91	437.53	-259.06	-445.25	-371.91	-437.53	259.06	445.25	421.91	437.53	-259.06
WAT	WA	AGX	2018-09-15 17:00	19D	21D	22D10H	2018-10-07 00:00	2	399.66	714.41	624.85	0.99	-399.66	-714.41	-574.85	-0.99	399.66	714.41	624.85	0.99	-399.66
EAT	EA	VH3	2018-09-15 17:00	18D	21D	22D10H	2018-10-07 00:00	2	170.58	281.61	257.79	275.98	-170.58	-281.61	-207.79	-275.98	170.58	281.61	257.79	275.98	-170.58
WAT	WA	KME	2018-09-13 16:00	21D	23D	24D11H	2018-10-07 00:00	2	402.83	719.16	629.37	8.03	-402.83	-719.16	-579.37	-8.03	402.83	719.16	629.37	8.03	-402.83
EAT	EA	VH2	2018-09-15 17:00	22D	25D	26D06H	2018-10-10 20:00	2	176.18	289.93	265.67	288.90	-176.18	-289.93	-215.67	-288.90	176.18	289.93	265.67	288.90	-176.18
WAT	WA	KME	2018-09-13 16:00	25D	28D	29D00H	2018-10-11 13:00	2	185.01	226.43	201.76	189.35	-185.01	-226.43	-151.76	-189.35	185.01	226.43	201.76	189.35	-185.01
WAT	WA	CMS	2018-09-09 16:00	09D	12D	13D01H	2018-09-21 14:00	3	386.82	695.36	606.78	-28.41	-386.82	-695.36	-556.78	28.41	386.82	695.36	606.78	-28.41	-386.82
EAT	EA	NVS	2018-09-12 17:00	19D	22D	22D23H	2018-10-04 13:00	3	176.25	213.37	189.36	169.39	-176.25	-213.37	-139.36	-169.39	176.25	213.37	189.36	169.39	-176.25



MARKET RATE LEVEL SAMPLE

MRL = USD 50/40HC as per Competition

Adarsh Ravi

to PH.OMMC.WA, AE, me, Benghin, Roger, P.J. ▾

Sep 6, 2018, 4:29 PM (5 days ago)



Dear Lemuel, CC: BH

We had a meeting with the customer yesterday to know the reason why we are not getting bookings on some of the lanes. One of their major POD is Haiphong, they have supported 3J with significant volumes in 2017, appended below the their lifting performance. As ONE we need to retain this volume which is around 6% of our yearly budget for IA Trade, customer is getting a rate of \$50/40'Hc (Incl. THL/FAF/BRS) Sub THD,DOCs only from competition and the bookings are diverted to them.

As per my understanding Haiphong is facing shortage of D5 containers for their exports and on the other hand Jebel Ali is a surplus location, so this business would benefit us in terms of saving repo cost

Please review and let us know the possibility to regain this business.

Month	TEUs
201701	182
201702	226
201703	226
201704	346
201705	194
201706	648
201707	484
201708	526
201709	788
201710	46
201711	134
201712	154
Grand Total	3954



EQUIPMENT SITUATION SAMPLE

Display:
 Duration:
 Change View:
 Current:
 Select Carrier:
 TP/SZ:

RCC:
 LCC:
 ECC:
 Location:
 Yard:
 Active Yard:
 Select Si:

				2018								
Display Level		TP/SZ	All or 4J	201828	201829	201830	201831	201832	201833	201834	201835	201836
VNHPH	Total Stock	D5	All	1,406	1,214	1,474	1,498	1,924	2,201	1,957	1,718	1,917
	RU Labeled Stock	D5	All	55	68	51	90	82	38	40	16	15
	Flow Out	D5	All	1,448	1,508	1,638	1,573	1,068	1,150	1,074	850	230
	Flow In	D5	All	1,248	1,760	1,657	1,993	1,343	900	830	1,049	176
	Laden Imbalance	D5	All	-548	-507	-473	-336	-66	-340	-248	-81	-52
	Net Flow	D5	All	-200	252	19	420	275	-250	-244	199	-54
	4 wk avg OP	D5	All					1,231	1,154	1,094	1,038	970
	Stock Ratio	D5	All					1.6	1.9	1.8	1.7	2.0
	Exceeding Stock	D5	All		-1,384	-1,142	-1,038	-538	-107	-231	-358	-23
	Laden Matchback Ratio	D5	All	1.7	1.6	1.7	1.4	1.1	1.5	1.3	1.1	1.3

Base Week		201836	2018-09-09	TP/SZ		D5	Imbalance OX		All	Display Form		☒ Short	☐ Long
Location Type		RCC	RCC	LCC		LCC	ECC		ECC	LOC		VNHPH	

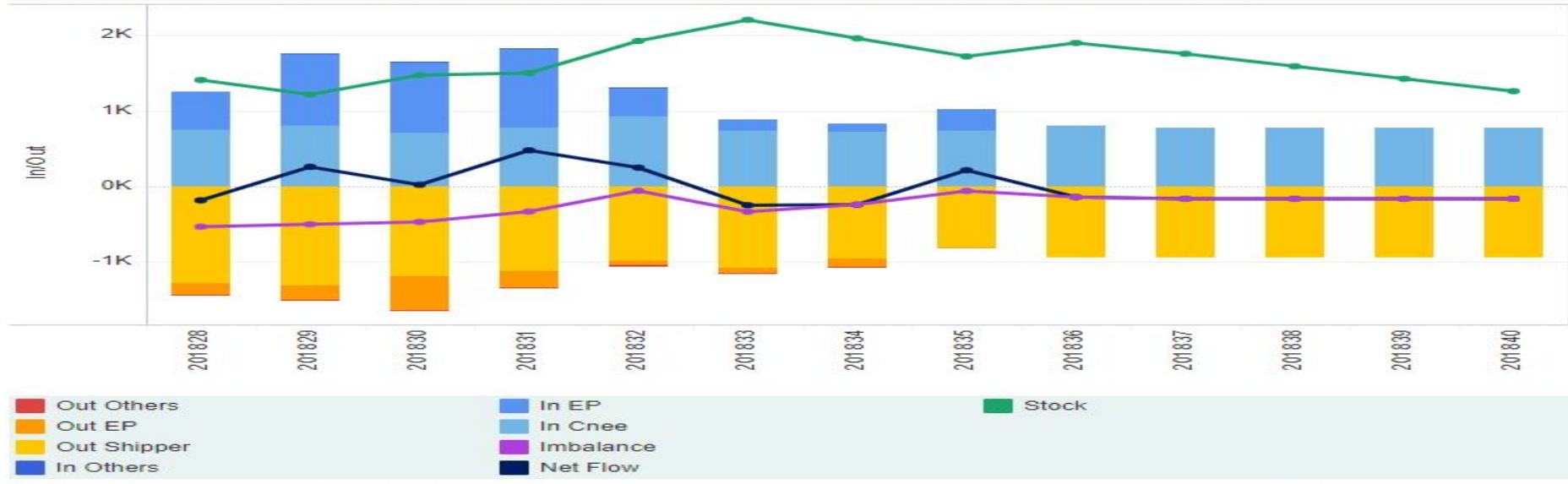
	RCC	LCC	ECC	Location Code	Location Name	TP/SZ	Inbound	Outbound	T'put	Imbalance	Imbalance (OX)	Current MT Stock	MT Stock v.s Wkly Export	MT Stock OX	Potential MT Stock Ratio
1	HKHKG	VNNGN	VNHPH	VNHPH	HAIPHONG	D5	724	905	1,629	-180		1,867	2.1	0	2



EQUIPMENT SITUATION SAMPLE

Summary - Last Update (2018-09-10 00:00, Week 36)

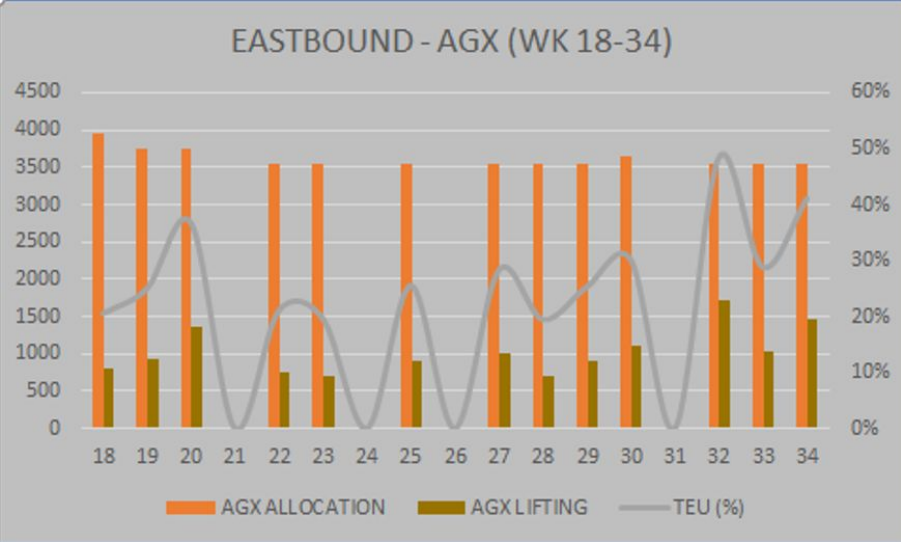
RCC : HKHKG, LCC : VNSGN, ECC : VNHPH - HAIPHONG, Yard : All, Type Size : D5



Country	SCC_CD	CNTR_TPSZ_CD	EP OUT cost			EP IN cost		
			201807	201808	201809	201807	201808	201809
United Arab Emirates	AEDXB	D5	(25)	(100)	(39)	25	118	79
Vietnam	VNHPH	D5	242	249	278	(242)	(231)	(236)



SPACE SITUATION SAMPLE



N/B	Util Against BSA	MAKT0003N	NDKT0034N	MAKT0004N	NDKT0035N	MAKT0005N	NDKT0036N	MAKT0006N
EX SGSIN	ETA	12-Jul	19-Jul	26-Jul	2-Aug	9-Aug	16-Aug	23-Aug
	Laden To VNHPH	501 TEU	374 TEU	568 TEU	344 TEU	398 TEU	311 TEU	390 TEU
	Empty Loading	0 TEU	0 TEU	0 TEU	0 TEU	0 TEU	0 TEU	0 TEU
EX SGSIN		ZCAT0131N	ARGT0108N	ZCAT0135N	ARGT0109N	ZCAT0139N	ARGT0110N	BXET0001N
	ETA	14-Jul	20-Jul	27-Jul	4-Aug	10-Aug	17-Aug	25-Aug
	Laden To VNHPH	292 TEU	612 TEU	154 TEU	416 TEU	282 TEU	299 TEU	177 TEU
	Empty Loading	0 TEU	225 TEU	0 TEU	200 TEU	0 TEU	0 TEU	0 TEU
	Total Laden	793 TEU	986 TEU	721 TEU	760 TEU	680 TEU	610 TEU	567 TEU
	Total Laden & Mty	0 TEU	225 TEU	0 TEU	200 TEU	0 TEU	0 TEU	0 TEU
	Utilization (Laden)	159%	197%	144%	152%	136%	122%	113%
	Utilization (Laden & Mty)	159%	242%	144%	192%	136%	122%	113%
	Utilization (DWT only)	135%	169%	126%	148%	121%	116%	104%



COD REQUEST

<No transshipment>

Origin (or Destination) sales office send COD request to below Stowage Planning COD group address. Below Stowage Planning COD group address will reply to Requesting sales office with operational feasibility & re-stow numbers including partner vessels.

Requesting sales office get MKTG Pricing team approval and inform Stowage Planning COD team

Requesting booking office to update booking

<With transshipment>

Origin (or Destination) sales office must confirm routing with MKTG Pricing team and verify proper T/S port.

Origin (or Destination) sales office send COD request to below Stowage Planning COD group address and Destination MKTG Space Control with T/S port office in cc (eg. If cargo is TPWB, add TP Space Control team in

Asia. If cargo is AEED, add AE Space Control team in Asia.)

Destination MKTG Space Control check 2nd leg feeder space with relevant Space Control team and revert back to Requesting sales office (eg. If Asia feeder space is required as 2nd leg for TPWB or AEED, TP/AE Space Control in Asia to check with Asia Trade Space Control)

Below Stowage Planning COD group address will reply to Requesting sales office for operational feasibility & re-stow numbers including partner vessels.

Requesting sales office get MKTG Pricing team approval and inform Stowage Planning COD team.

Requesting booking office to update booking

ASIA VO COD as.vo.cod@one-line.com

